



KHYBER TOBACCO
COMPANY LIMITED

FINANCIAL CASE STUDY

Khyber Tobacco Company Limited

Financial Analysis Report

Analysis Period: FY2020 – FY2025

All figures in Rs. Million unless stated otherwise

Executive Summary

Khyber Tobacco Company Limited (KTC), a Mardan-based cigarette and tobacco manufacturer listed on the Pakistan Stock Exchange as KHTC, went through an unusually volatile six years between FY2020 and FY2025. Net sales grew from Rs. 1,829 million in FY2020 to Rs. 7,435 million in FY2023, fell 58.1 percent to Rs. 3,114 million in FY2024, then rose 217.7 percent to a record Rs. 9,891 million in FY2025.

Profitability tracked the same cycle: net profit margin moved from 2.1 percent in FY2020 to a loss of 5.7 percent in FY2021, up to 12.8 percent in FY2022, a peak of 26.9 percent in FY2023, a loss of 32.8 percent in FY2024, and a thin 2.8 percent in FY2025. FY2021 and FY2024 were loss-making at both the operating and net level.

The balance sheet grew more than six-fold, from Rs. 2.6 billion to Rs. 16.7 billion in total assets, almost entirely through inventory: stock in trade reached 61.8 percent of total assets by FY2025. This build-up has been funded mainly through trade payables rather than equity or long-term debt, so the debt-to-equity ratio rose from 1.00 to 4.70 times and equity fell from 49.9 percent to 17.6 percent of total assets.

Liquidity is the clearest concern. The current ratio has stayed at or below 1.0 times every year since FY2021, below the 1.5 times generally expected of a manufacturer, and the quick ratio has fallen steadily to just 0.26 times in FY2025 – barely a quarter of short-term obligations covered by liquid assets.

The Altman Z-Score places KTC in the Distress Zone in four of six years (FY2021, FY2022, FY2024, FY2025), the Grey Zone in FY2020, and the Safe Zone only in FY2023. A DuPont decomposition shows KTC's returns are increasingly driven by financial leverage rather than consistent operating profitability, unlike Pakistan Tobacco Company – the market-leading, BAT-owned competitor used for comparison – whose margins and returns have stayed comparatively stable.

The FY2025 recovery is real, driven mainly by a sharp rise in export sales, but it was financed by an even larger build-up of inventory and trade payables – so liquidity and leverage pressures intensified rather than eased. Revenue and financial risk have grown together, and that is the central finding of this report.

1. Company Overview

Khyber Tobacco Company Limited was incorporated in Pakistan on October 15, 1954, under the Companies Act 1913, and is headquartered in Mardan, Khyber Pakhtunkhwa. The company manufactures and sells cigarettes, and carries out re-drying of tobacco, with a product range spanning cut tobacco, filter rods and finished cigarettes. Its shares trade on the Pakistan Stock Exchange under the ticker KHTC. As of mid-2025, KTC had approximately 6.92 million shares outstanding, held mainly by the local general public, with smaller holdings by insurance companies, government-related entities and other shareholder categories.

KTC sells cigarettes domestically under the Gold Street Classic and Gold Street International brands, and exports to the Middle East, Eastern Europe, South and West Africa, and Central and South Asia – including the UAE, Greece, China, Indonesia, Italy, Belgium, Turkey, Egypt and Afghanistan. Export sales, not domestic volume, drive the large year-on-year revenue swings analyzed throughout this report.

The domestic market is dominated by two multinational-backed players, Pakistan Tobacco Company (a British American Tobacco subsidiary) and Philip Morris Pakistan. KTC is a considerably smaller competitor, and its recent results have been shaped by two industry pressures reported in the business press: intensified competition from undocumented and illicit cigarette sales, and uneven implementation of Pakistan's Track and Trace excise verification system – a factor the company has cited behind weak domestic volumes in some years. These industry factors, drawn from external reporting, are relevant background for the FY2024 revenue decline discussed later, and are flagged as external context rather than workbook-verified figures.

2. Purpose and Scope of Analysis

This report presents a financial case study of KTC covering FY2020–FY2025, based on a detailed financial analysis workbook containing KTC's income statement and balance sheet figures, vertical and horizontal analysis, a full ratio analysis (liquidity, profitability, efficiency and solvency), a DuPont decomposition against Pakistan Tobacco Company, an Altman Z-Score bankruptcy risk model, and sensitivity analysis on revenue, finance cost and asset levels. All monetary figures are in Rs.

million unless stated otherwise, and all ratios are calculated directly from the reported income statement and balance sheet line items.

Where useful, the report also draws on external, publicly available information – company profile data, Pakistan Stock Exchange disclosures and business press coverage – to describe background and industry context the workbook itself does not contain. Every external fact is presented as external research and kept clearly separate from workbook-calculated figures.

Limitations

- **Cash flow data.** The workbook contains no cash flow statement; Section 5 infers cash flow only from the year-on-year change in the cash and bank balance, not a full operating, investing and financing breakdown.
- **Market price data.** The workbook has no continuous share price series, so price-based ratios (e.g. P/E) cannot be calculated from it; a recent external market data point is noted separately in Section 6.5 for context only.

3. Financial Performance Analysis

3.1 Revenue Trend

Net sales moved through two boom-and-bust cycles rather than steady growth. Sales fell 33.5 percent (Rs. 613 million) in FY2021 to Rs. 1,216 million on weak domestic demand, then more than doubled in FY2022 (+102.7 percent) to Rs. 2,465 million as volumes and exports recovered. FY2023 was stronger still, rising 201.7 percent to a then-record Rs. 7,435 million on rapid export growth.

FY2024 reversed almost all of that gain, falling 58.1 percent to Rs. 3,114 million – the sharpest decline in the period – attributed by business press coverage to weak domestic volumes linked to uneven Track and Trace implementation and a near-total loss of export sales to Africa and Europe. FY2025 then produced the strongest single-year swing in the period: sales rose 217.7 percent to a record Rs. 9,891 million, driven almost entirely by an export rebound. Both the FY2024 decline and FY2025 recovery are corroborated by independent external reporting, a useful cross-check on the workbook's figures.

3.2 Cost Structure and Gross Margin

Cost of sales has moved less than revenue in absolute terms, producing wide swings in gross margin. Margin improved from 17.4 percent in FY2020 to 32.6 percent in FY2022 and a best-ever 37.3 percent in FY2023, as cost of sales fell from 86.5 percent to 62.7 percent of sales. It then collapsed to 5.0 percent in FY2024, since costs did not fall in line with the revenue drop, before recovering to 17.9 percent in FY2025.

Administrative and distribution costs have been fairly stable in absolute terms but swing sharply as a share of sales: 27.7 percent of sales in the weak FY2024 year versus just 7.0 percent in the much larger FY2025 base, illustrating KTC's operating leverage. Other operating expenses, including impairment and provisions, spiked to 10.2 percent of sales in FY2024 – likely one-off credit losses – before easing to 3.7 percent in FY2025.

3.3 Operating and Net Profit

KTC posted an operating loss in two of six years. Operating profit swung from Rs. 62 million in FY2020 to a loss of Rs. 27 million in FY2021, to profits of Rs. 533 million and Rs. 2,179 million in FY2022–FY2023, a loss of Rs. 468 million in FY2024, and back to a profit of Rs. 984 million in FY2025 – margins of 3.4 percent, (2.2 percent), 21.6 percent, 29.3 percent, (15.0 percent) and 9.9 percent respectively.

Net profit after tax mirrors this cycle: Rs. 39 million, a loss of Rs. 69 million, Rs. 315 million, a peak of Rs. 1,998 million, a loss of Rs. 1,022 million, and back to Rs. 275 million across FY2020–FY2025. The FY2024 loss is corroborated closely by external reporting, which puts it at approximately Rs. 1,022 million with a loss per share of Rs. 147.63, matching the workbook almost exactly. The positive FY2025 margin is modest and leaves little buffer against renewed cost pressure or an export slowdown.

Metric	2020	2021	2022	2023	2024	2025
Net Sales	1,828.7	1,216.0	2,464.7	7,434.6	3,113.8	9,890.7
Cost of Sales	1,510.7	1,051.7	1,662.4	4,662.8	2,957.8	8,115.9
Gross Profit	318.0	164.4	802.3	2,771.8	156.0	1,774.8

Metric	2020	2021	2022	2023	2024	2025
Operating Profit / (Loss)	61.9	(26.9)	532.8	2,179.5	(467.9)	983.6
Profit / (Loss) Before Tax	42.0	(83.1)	410.4	2,124.2	(973.6)	414.3
Profit / (Loss) After Tax	38.5	(68.7)	315.5	1,998.4	(1,022.0)	274.7

Table 1: Income Statement Summary, FY2020–FY2025 (Rs. Million). Figures in parentheses denote losses.

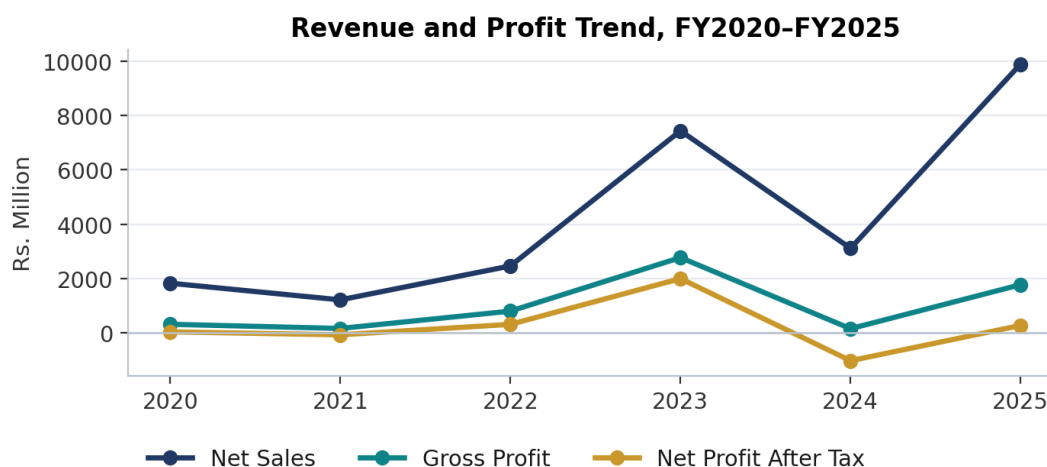


Figure 1: Revenue, gross profit and net profit after tax, FY2020–FY2025.

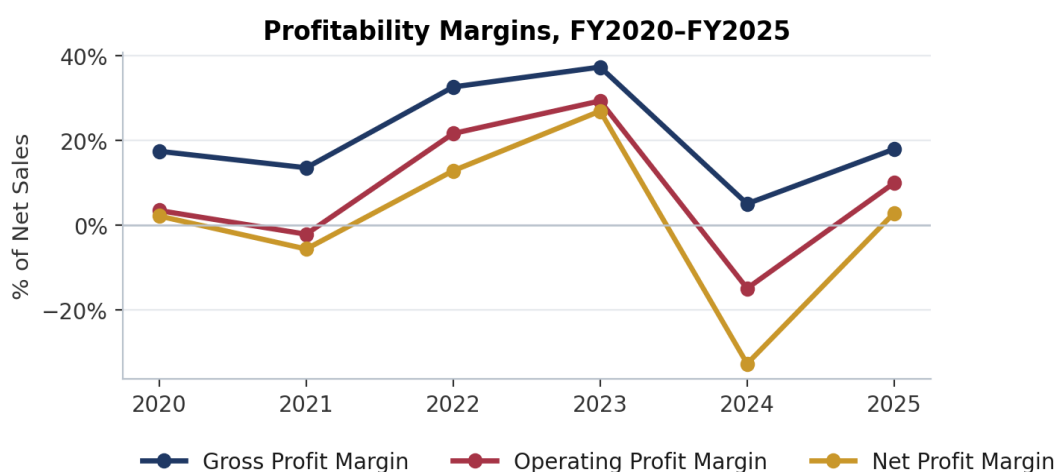


Figure 2: Gross, operating and net profit margins as a percentage of net sales, FY2020–FY2025.

4. Balance Sheet Analysis

4.1 Asset Growth and Composition

Total assets grew from Rs. 2,602 million in FY2020 to Rs. 16,723 million in FY2025 – up Rs. 14,121 million, or 543 percent – almost entirely from current assets. Current assets rose from 68.4 percent to 82.9 percent of total assets, dominated by stock in trade, which grew from Rs. 668 million to Rs. 10,340 million and reached 61.8 percent of total assets by period end.

Property, plant and equipment grew from Rs. 819 million to Rs. 2,737 million in absolute terms, reflecting continued capacity investment, but fell from 31.5 percent to 16.4 percent of total assets as current assets grew faster. Cash and bank balances grew from Rs. 82 million to Rs. 1,311 million but never exceeded roughly 16 percent of total assets, even at their FY2021 peak.

4.2 Financing Structure and Leverage

How this asset growth was financed is the single most important structural change in KTC's balance sheet. Current liabilities, dominated by trade payables, rose from 45.4 percent to 80.1 percent of total assets (Rs. 1,181 million to Rs. 13,395 million). Total equity grew in Rupee terms (Rs. 1,298 million to Rs. 2,935 million) but fell sharply as a share of the balance sheet, from 49.9 percent to 17.6 percent. Non-current liabilities stayed below roughly 5 percent of total assets throughout, so KTC's rising leverage has come almost entirely from short-term supplier credit rather than long-term borrowing.

FY2022 and FY2023 were the two years the balance sheet grew mainly on retained profit, with equity rising Rs. 533 million and Rs. 2,030 million respectively – taking equity to 49.1 percent of total assets in FY2023, the strongest-capitalised year in the period. FY2024 reversed this: assets grew Rs. 4,538 million (58.8 percent), almost all in current assets, while equity fell Rs. 1,098 million on the net loss and current liabilities grew Rs. 5,395 million – showing the FY2024 inventory build-up was financed almost entirely by suppliers. FY2025 continued the pattern: stock in trade rose a further Rs. 4,026 million and payables grew correspondingly, while equity recovered only Rs. 239 million on the year's profit.

Metric	2020	2021	2022	2023	2024	2025
Non-Current Assets	823.6	1,384.5	2,047.6	2,751.4	3,002.8	2,856.7
Current Assets	1,778.8	2,026.9	3,602.4	4,969.0	9,255.4	13,866.6
Stock in Trade	668.1	760.4	1,551.5	2,607.8	6,313.4	10,339.5
Cash and Bank	81.6	558.3	679.4	1,086.5	944.7	1,311.3
Total Assets	2,602.3	3,411.4	5,650.0	7,720.3	12,258.1	16,723.3
Total Equity	1,298.5	1,231.0	1,764.3	3,793.9	2,696.4	2,935.3
Current Liabilities	1,181.0	2,082.6	3,676.2	3,732.6	9,128.0	13,394.7
Non-Current Liabilities	122.9	97.9	209.6	193.8	433.7	393.3

Table 2: Balance Sheet Summary, FY2020–FY2025 (Rs. Million).

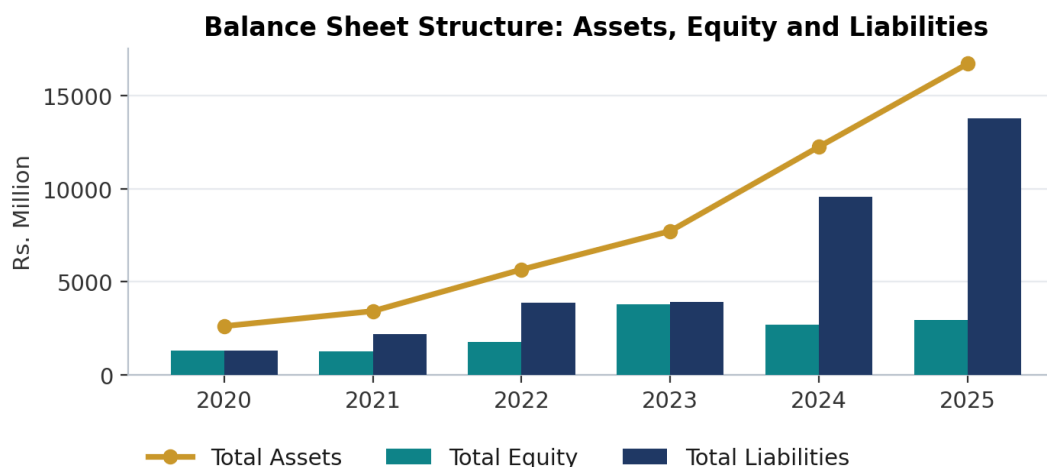


Figure 3: Total assets, total equity and total liabilities, FY2020–FY2025.

5. Cash Flow Analysis

The workbook contains no cash flow statement, so this section infers cash flow only from the year-on-year change in the balance sheet cash and bank balance – a narrower basis than a full operating, investing and financing breakdown.

KTC's cash and bank balance rose from Rs. 82 million in FY2020 to a high of Rs. 1,086 million in FY2023, fell to Rs. 945 million in FY2024, and recovered 38.8 percent to Rs. 1,311 million in FY2025. On its own this is a positive signal after the difficult FY2024 year, but current liabilities (mainly trade payables) rose Rs. 4,267 million in FY2025 – far more than the Rs. 367 million cash increase – while inventory rose a further Rs. 4,026 million. This pattern suggests working capital expansion is funded mainly by supplier credit rather than trading cash generation, so part of the cash improvement may reflect

payment timing rather than durable conversion. A full cash flow statement is recommended as a next step for any extension of this analysis.

6. Ratio Analysis

This section sets out KTC's liquidity, profitability, efficiency and solvency ratios for FY2020–FY2025, calculated directly from the reported financial statements, with an interpretation of what each trend means for the business.

6.1 Liquidity Ratios

Metric	2020	2021	2022	2023	2024	2025
Current Ratio (x)	1.51	0.97	0.98	1.33	1.01	1.04
Quick Ratio (x)	0.94	0.61	0.56	0.63	0.32	0.26
Cash Ratio (x)	0.07	0.27	0.18	0.29	0.10	0.10
Working Capital (Rs. Mn)	597.8	(55.7)	(73.8)	1,236.4	127.4	471.9

Table 3: Liquidity Ratios, FY2020–FY2025.

The current ratio peaked at 1.51 times in FY2020 and has stayed at or below 1.0 times every year since, ending FY2025 at 1.04 times – below the 1.5 times minimum generally expected of a manufacturer. The quick ratio tells a more concerning story: after recovering to 0.63 times in FY2023, it fell to 0.32 times in FY2024 and 0.26 times in FY2025, both well below the 1.0 times benchmark. Because inventory now dominates current assets, KTC's ability to meet short-term obligations depends heavily on selling that inventory or on continued supplier and lender confidence rather than cash or receivables on hand. Working capital is positive in four of six years, reaching Rs. 472 million in FY2025, but consists overwhelmingly of slow-moving stock rather than liquid assets, so this buffer is weaker than the headline number suggests.

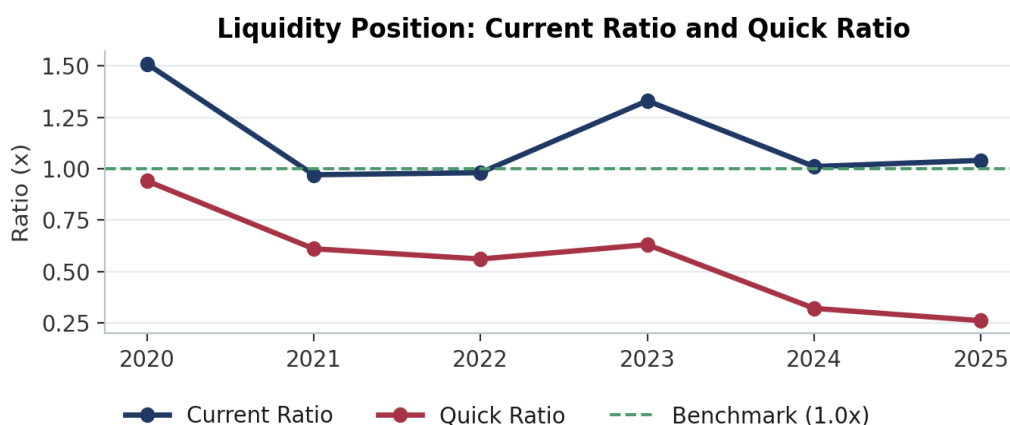


Figure 4: Current ratio and quick ratio against a 1.0 times reference line, FY2020–FY2025.

6.2 Profitability Ratios

Metric	2020	2021	2022	2023	2024	2025
Gross Profit Margin	17.4%	13.5%	32.6%	37.3%	5.0%	17.9%
Operating Profit Margin	3.4%	(2.2%)	21.6%	29.3%	(15.0%)	9.9%
Net Profit Margin	2.1%	(5.7%)	12.8%	26.9%	(32.8%)	2.8%
Return on Assets (ROA)	1.5%	(2.0%)	5.6%	25.9%	(8.3%)	1.6%
Return on Equity (ROE)	3.0%	(5.6%)	17.9%	52.7%	(37.9%)	9.4%
Earnings Per Share (Rs.)	8.02	(14.28)	65.62	288.68	(147.63)	39.67

Table 4: Profitability Ratios, FY2020–FY2025. Figures in parentheses denote negative values.

Every profitability measure moves through the same volatile cycle as revenue. Gross margin ranged from 5.0 percent (FY2024) to 37.3 percent (FY2023); operating margin from (15.0 percent) to 29.3 percent; and net margin from (32.8

percent) to 26.9 percent across the same two years. Return on assets ranged from (8.3 percent) to 25.9 percent, and return on equity from (37.9 percent) to 52.7 percent – an extraordinarily wide spread for six years. Earnings per share tell the same story, from a loss of Rs. 147.63 to a peak of Rs. 288.68. The FY2025 recovery to a 2.8 percent net margin, 1.6 percent ROA and 9.4 percent ROE is a genuine improvement on FY2024, but remains well below FY2022–FY2023 levels; the size of historical swings means a single difficult export year could plausibly return the company to loss.

6.3 Efficiency and Activity Ratios

Metric	2020	2021	2022	2023	2024	2025
Inventory Turnover (x)	2.26	1.38	1.07	1.79	0.47	0.78
Days Inventory Outstanding	161	264	341	204	779	465
Receivables Turnover (x)	5.80	4.31	5.21	6.83	2.31	10.33
Days Sales Outstanding	63	85	70	53	158	35
Total Asset Turnover (x)	0.70	0.36	0.44	0.96	0.25	0.59
Working Capital Turnover (x)	3.06	(21.82)	(33.39)	6.01	24.44	20.96

Table 5: Efficiency and Activity Ratios, FY2020–FY2025.

Inventory turnover has fallen steadily, from 2.26 times in FY2020 to just 0.78 times in FY2025 – inventory now turns over less than once a year. Days inventory outstanding rose from 161 to a peak of 779 days in FY2024, easing to 465 days in FY2025, still nearly three times the FY2020 level. Part of this reflects a deliberate choice to hold export stock ahead of shipment, but it ties up working capital and adds storage, financing and obsolescence risk – the single largest driver of the quick ratio's deterioration. Receivables turnover has moved more positively, improving to 10.33 times (35 days sales outstanding) in FY2025 from 2.31 times (158 days) in FY2024, as the trade debt balance fell from Rs. 1,349 million to Rs. 957 million. Total asset turnover recovered to 0.59 times in FY2025 from 0.25 times in FY2024, but remains below the FY2020 level of 0.70 times and the FY2023 peak of 0.96 times, since the inventory-dominated asset base has grown faster than the revenue it supports.

Efficiency Ratios: Turnover of Inventory, Receivables and Assets

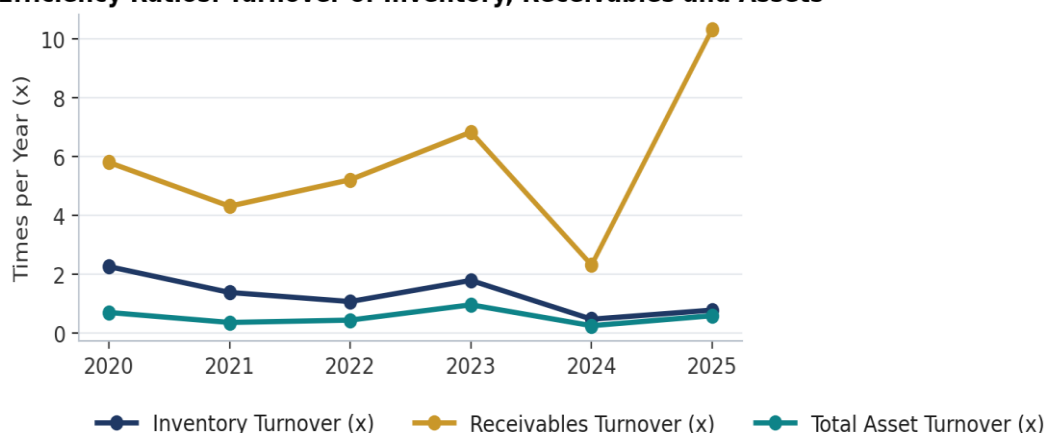


Figure 5: Inventory, receivables and total asset turnover, FY2020–FY2025.

6.4 Solvency and Leverage Ratios

Metric	2020	2021	2022	2023	2024	2025
Debt-to-Equity Ratio (x)	1.00	1.77	2.20	1.03	3.55	4.70
Debt Ratio	50.1%	63.9%	68.8%	50.9%	78.0%	82.4%
Equity Ratio	49.9%	36.1%	31.2%	49.1%	22.0%	17.6%
Interest Coverage Ratio (x)	4.10	0.50	4.31	5.79	(0.73)	3.99

Table 6: Solvency and Leverage Ratios, FY2020–FY2025.

The debt-to-equity ratio deteriorated in almost every year, from 1.00 times in FY2020 to 4.70 times in FY2025 – above the 2.0 times generally regarded as high for a manufacturer in three of the last four years. The debt ratio rose from 50.1 percent to 82.4 percent of total assets, the mirror image of the equity ratio's decline. Interest coverage was volatile, falling to 0.50 times in FY2021 and turning negative at (0.73 times) in FY2024 – meaning operating earnings did not cover finance cost in those years – before recovering to 3.99 times in FY2025.

6.5 Market and Book Value Ratios

Metric	2020	2021	2022	2023	2024	2025
Book Value Per Share (Rs.)	187.57	177.82	254.85	548.05	389.51	424.02
Earnings Per Share (Rs.)	8.02	(14.28)	65.62	288.68	(147.63)	39.67
Dividend Per Share (Rs.)	Nil	Nil	Nil	Nil	Nil	Nil

Table 7: Market and Book Value Ratios, FY2020–FY2025.

Book value per share rose from Rs. 187.57 in FY2020 to a peak of Rs. 548.05 in FY2023, fell to Rs. 389.51 in FY2024 on the year's loss, and recovered modestly to Rs. 424.02 in FY2025 – a clear illustration of how directly a loss-making year erodes shareholder value. KTC has not declared a dividend in any of the six years, consistent with a policy of retaining earnings for reinvestment and working capital. The workbook has no continuous market price series, so price-based ratios cannot be calculated on the same basis as the other ratios here; for context only, external data indicates KTC shares traded in the high Rs. 300s in early 2026, implying a market capitalization of roughly Rs. 2.7 billion – noted purely as external, point-in-time context.

7. Trend and Comparative Analysis

7.1 Altman Z-Score: Bankruptcy Risk Trend

The Altman Z-Score combines five weighted ratios into a single bankruptcy-risk measure: above 2.99 is a Safe Zone, 1.81–2.99 a Grey Zone, and below 1.81 a Distress Zone. KTC's score moved from 2.38 (Grey) in FY2020 to 1.21 (Distress) in FY2021, 1.54 (Distress) in FY2022, 3.55 (Safe) in the exceptional FY2023, back down to 0.69 (deep Distress) in FY2024, and 1.26 (Distress) again in FY2025.

The largest-weighted component, EBIT / total assets, also swings most violently, driven directly by operating profit or loss. The working capital component has weakened as inventory has displaced liquid current assets, and the equity-to-liabilities component has deteriorated steadily as leverage has risen – from near parity in FY2020 to roughly one Rupee of equity for every five of liabilities by FY2025. The Z-Score confirms the ratio analysis above: KTC's FY2025 revenue recovery has not been matched by improved balance sheet resilience, leaving the company in the Distress Zone at period end, materially weaker than the Grey Zone score it started with.

Metric	2020	2021	2022	2023	2024	2025
Altman Z-Score	2.38	1.21	1.54	3.55	0.69	1.26
Zone	Grey	Distress	Distress	Safe	Distress	Distress

Table 8: Altman Z-Score and Zone Classification, FY2020–FY2025.

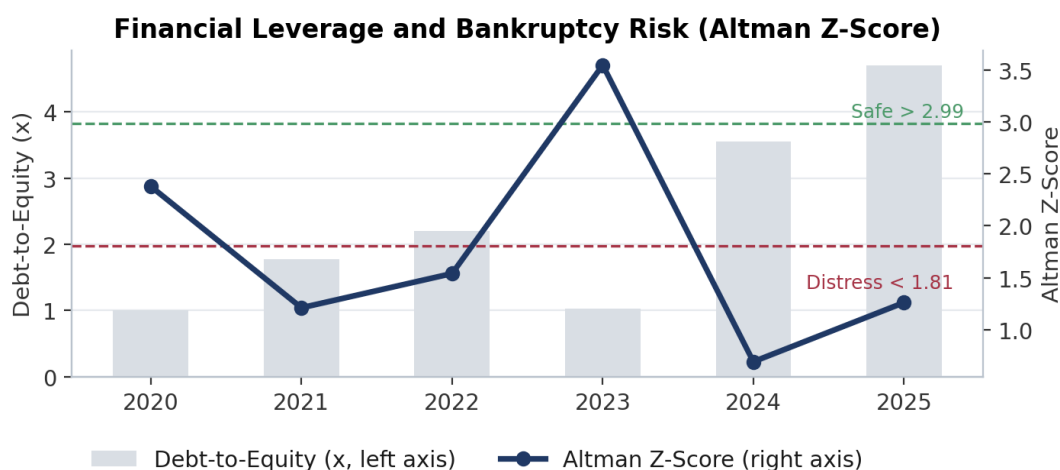


Figure 6: Debt-to-equity ratio and Altman Z-Score against Safe Zone and Distress Zone reference lines, FY2020–FY2025.

7.2 DuPont Comparison with Pakistan Tobacco Company

The workbook also decomposes ROE into net margin, asset turnover and the equity multiplier, benchmarked against Pakistan Tobacco Company (PTC), the BAT-owned market leader, using PTC's own published results. The FY2024 comparison, KTC's weakest year, is shown below.

Component (FY2024)	KTC	Pakistan Tobacco Co.
Net Profit Margin	(32.8%)	19.7%
Asset Turnover (x)	0.25	2.43
Equity Multiplier (x)	4.55	4.02
DuPont Return on Equity	(37.9%)	191.9%

Table 9: DuPont Comparison, KTC vs Pakistan Tobacco Company, FY2024. PTC figures are drawn from PTC's own published results and shown as an external benchmark rather than a calculation from the KTC workbook.

The contrast is instructive. PTC's net margin stayed within a comparatively narrow 19.6–30.1 percent range across FY2020–FY2024, while KTC's ranged from (32.8 percent) to 26.9 percent – a far wider spread reflecting KTC's dependence on export swings that PTC's dominant, stable domestic franchise does not share. PTC's much higher asset turnover (consistently above 2.4 times, versus KTC's 0.25–0.96 times) reflects a fundamentally different balance sheet without KTC's large inventory holdings. PTC's own DuPont ROE, exceeding 190 percent in some years, is unusually high even by industry standards – most likely reflecting a thin equity base typical of a multinational subsidiary that distributes rather than retains profit, a feature of capital structure rather than comparable operating risk. The practical takeaway: KTC's own ROE, particularly in strong years like FY2023, has been achieved substantially through leverage rather than the stable, asset-light profitability of its larger competitor.

8. Key Findings

8.1 Positive Findings

- **Strong export-led recovery in FY2025.** Net sales rose 217.7 percent to a record Rs. 9,891 million, restoring profit after the FY2024 loss.
- **Improved receivables collection.** Turnover rose to 10.33 times (35 days) in FY2025 from 2.31 times (158 days) in FY2024.
- **Growing cash balance.** Cash and bank rose 38.8 percent to Rs. 1,311 million, the highest level in six years (see Section 5 caveats).
- **Manufacturing capacity investment.** PP&E more than tripled, from Rs. 819 million to Rs. 2,737 million.

8.2 Areas of Concern

- **Deteriorating quick ratio**, down to 0.26 times in FY2025, its lowest level in the period.
- **Slowing inventory turnover**, down from 2.26 to 0.78 times, with days inventory outstanding at 465 days.
- **Thin FY2025 margins**. Net margin of 2.8 percent is far below the 12.8–26.9 percent FY2022–FY2023 range.

8.3 Financial Risks

- **Rising leverage funded by trade credit**. Debt-to-equity rose from 1.00 to 4.70 times, funded almost entirely by trade payables.
- **Recurring interest coverage shortfalls**, turning negative in both FY2021 and FY2024.
- **Bankruptcy risk model in the Distress Zone** in four of six years, ending at 1.26 in FY2025.

8.4 Important Changes Over the Period

- **A structurally different balance sheet**. Assets grew 543 percent while equity's share fell from 49.9 percent to 17.6 percent.
- **Two loss-making years in six** (FY2021, FY2024), each following strong growth.
- **Shift to inventory-heavy assets**. Stock in trade rose from 25.7 percent to 61.8 percent of total assets, while PP&E fell from 31.5 percent to 16.4 percent.

9. Financial Strengths and Weaknesses

9.1 Strengths

- **Demonstrated export growth capability**, more than doubling revenue within a year twice (FY2023, FY2025).
- **Improving receivables management**, with days sales outstanding falling to 35 days in FY2025.
- **No reliance on long-term debt**, which has stayed below roughly 5 percent of total assets throughout.

9.2 Weaknesses

- **Thin and deteriorating liquidity**, with a 0.26 times quick ratio and a current ratio near 1.0 times since FY2021.
- **Heavy dependence on export timing**, with revenue and profit swinging by more than half in either direction across the period.
- **Eroding equity base**, down from 49.9 percent to 17.6 percent of total assets.
- **Rising inventory obsolescence and financing risk**, with turnover below 1.0 times and over 460 days inventory outstanding in FY2025.

10. Risk Assessment

- **Liquidity risk**. With a 0.26 times quick ratio, KTC would struggle to meet obligations without selling inventory or rolling over payables; any tightening of supplier terms could quickly turn a balance sheet risk into a cash risk.
- **Leverage and counterparty risk**. A 4.70 times debt-to-equity ratio, built almost entirely on trade payables, makes KTC dependent on suppliers' continued willingness to extend credit – a less predictable form of leverage than bank debt.
- **Profitability and export concentration risk**. Net margin has swung across nearly 60 percentage points; loss of a single major export market could move KTC from profit to significant loss within a year.
- **Cost pressure and operating leverage risk**. Costs that do not fall in proportion to revenue amplify the impact of any revenue shortfall, as FY2024 showed.
- **Cash flow risk**. Without a full cash flow statement, it is unclear whether FY2025's improved cash position reflects genuine operating cash generation or payables timing; either way, the large inventory position financed by short-term payables carries meaningful risk if stock does not convert to sales as expected.
- **Operational and industry risk**. External reporting points to continuing competition from illicit cigarette sales and inconsistent excise verification as ongoing sources of volatility for smaller manufacturers such as KTC.

None of these risks points to an immediate solvency crisis – working capital has stayed positive and the company returned to profit in FY2025. They are best read as areas requiring active management attention rather than emergencies.

11. Overall Financial Assessment

- **Is performance improving or weakening?** Both. Revenue and profit improved sharply in FY2025, but balance sheet quality continued to weaken as the recovery was financed by more inventory and trade payables; earnings remain far more volatile than at the start of the period.
- **Is profitability sustainable?** The FY2025 return to profit is encouraging but the 2.8 percent margin is thin relative to FY2022–FY2023, and margins have never held a narrow range for more than two consecutive years.
- **Is the balance sheet strong or under pressure?** Under pressure – assets have grown substantially, but overwhelmingly through trade payables, leaving a 4.70 times debt-to-equity ratio and equity covering only 17.6 percent of assets.
- **Is liquidity adequate?** No – the current ratio has stayed near 1.0 times since FY2021 and the quick ratio has fallen to 0.26 times, both below conventional manufacturing benchmarks.
- **Is financial risk manageable?** Elevated but likely manageable, provided trade credit terms stay stable and export volumes do not deteriorate sharply again; KTC's lack of long-term debt gives it flexibility, but its reliance on short-term supplier credit is a genuine, rising vulnerability.
- **What areas most need attention?** Inventory levels and turnover; the balance between trade payables and equity in financing working capital; and the consistency of export performance, since nearly every major swing in this report traces back to export volume.

12. Conclusion

Between FY2020 and FY2025, Khyber Tobacco Company Limited grew from a modest, domestically focused cigarette manufacturer into a considerably larger, export-driven business, with total assets increasing more than six-fold and net sales reaching a record Rs. 9,891 million. That growth has not been matched by a corresponding strengthening of the balance sheet: equity's share of total assets fell from close to half to under a fifth, the quick ratio fell to a quarter of current liabilities, and the Altman Z-Score ended the period in the Distress Zone.

The FY2025 recovery demonstrates that KTC retains genuine commercial capability in export markets and can return to profitability quickly when conditions are favourable. But the evidence points to a company whose growth has consistently outpaced its capital base, financed through an increasingly large reliance on trade payables rather than equity. The central conclusion is that KTC's revenue recovery and its financial risk profile have moved together rather than in opposite directions: as the company has grown larger and more profitable in strong years, it has also become more leveraged and less liquid. Addressing that imbalance – through reduced inventory days and a rebuilt equity base – is the clearest path to a more resilient financial position ahead.